New Zealand: energy security, economic opportunity and partnership priorities

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AI-generated from the data and checked against it; paper baseline as of 12 October 2026.

Summary

- 18 of New Zealand's 28 placed sectors sit in the two low-energy-security corners; against other economies, its Energy Security is lowest in upstream nuclear, downstream electric vehicles and upstream green hydrogen.[1]
- Against other economies, its Economic Opportunity is highest in upstream coal, downstream oil, downstream solar and downstream wind, the 4 sectors in the two high-opportunity corners.[1]
- The Strategic Index ranks downstream batteries 1st among New Zealand's own sectors. When data-based priority is set against policy activity, upstream nuclear, upstream green hydrogen, upstream wind and upstream electric grid combine top priority with the least policy.[1]
- The Partnership Strength Index rates the United States highest for New Zealand, as a reliable supplier. Today's trade broadly matches, but China, its 2nd trade partner, ranks 33rd on Partnership Strength.[1,2]

1. Energy security risks and why

Low energy security is the common pattern in New Zealand's supply chains: 18 of its 28 placed sectors sit in the two low-energy-security corners. Energy Security measures how well a country can rely on what it needs in a sector, from own production and reserves to import needs; higher means more secure.[1]

Against other economies in the same sector, its Energy Security is lowest in upstream nuclear, downstream electric vehicles and upstream green hydrogen. In upstream nuclear it scores 0.16, higher than only 9% of the other 174 economies scored in that sector. It scores 0.29 in downstream electric vehicles and 0.18 in upstream green hydrogen, higher than 14% and 20% of the other economies scored. Each of these sits in the Secure corner, which pairs low energy security with low opportunity.[1]

In upstream nuclear, the score is low mainly because of its trade position: its share of world exports of these goods was 0.0% in 2023.[3]

New Zealand's high-priority sector in Country Insights is its only sector in the Upgrade corner, high in opportunity but low in energy security: downstream solar. It scores 0.47 on Energy Security, higher than 38% of the other 147 economies scored. Its score is held down mainly by consumption and reserves: on expected growth in use per person it scores higher than only 7% of the other economies, and on solar resource potential higher than 36%.[1]

Among its placed sectors, midstream wind has the 4th lowest Energy Security against other economies, with a score of 0.38. For context, its largest suppliers in 2024 were China (29.1% of its imports), Australia (17.6%) and the United States (12.3%).[1,2]

2. Economic opportunities and why

Openings are narrower than exposures: 4 of New Zealand's placed sectors sit in the two high-opportunity corners. Economic Opportunity measures how well placed a country is to create value in a sector, from exports and market share to investment, costs, demand and related capabilities.[1]

Against other economies in the same sector, its Economic Opportunity is highest in upstream coal (Grow corner), downstream oil (Grow), downstream solar (Upgrade) and downstream wind (Grow). These scores are higher than 59%, 54%, 51% and 50% of the other economies scored in each sector.[1]

In upstream coal, production and trade push the score up. Production was 0.066 EJ in 2025, and its share of world exports was 0.1% in 2023. For context, its largest export markets in 2024 were Japan (31.9%), South Korea (22.5%) and India (21.0%).[2,3,4]

In downstream oil, consumption and energy access push the score up: on energy access, its oil consumption was 61.6 GJ per person in 2025, higher than 84% of the other economies.[1,4]

In downstream solar, investment and energy access push the score up: on growth in investment it scores higher than 73% of the other economies. This sector pairs that opening with low energy security. The paper's framework associates the Upgrade corner with building domestic capability, a posture RMI (2025) calls leapfrogging.[1]

3. Sectoral priorities and the existing policy posture

The Strategic Index ranks a country's own sectors by opportunity, security need, policy activity, stage and low-emission value. Among New Zealand's own sectors, it ranks downstream batteries 1st (0.65), upstream batteries 2nd and upstream solar 3rd, almost tied with upstream batteries (0.003 apart). Next come downstream green hydrogen (4th) and upstream nuclear (5th), each almost tied with the sector below it (0.004 and 0.006 apart).[1]

The lead of downstream batteries reflects its policy term of 0.200, the full weight of that term, against 0.109 for upstream batteries.[1]

New Zealand's allied pick in the network design is midstream solar (0.59), ranked 8th, with midstream electric grid as runner-up. The pick is New Zealand's first upstream or midstream sector on the Strategic Index after a resource-base screen. The upstream sectors ranked above it are screened out because no resource base is recorded for them.[1,5]

Country Insights splits the sectors into thirds by data-based priority (the Strategic Index without its policy term) and again by policy activity. On that comparison, upstream nuclear, upstream green hydrogen, upstream wind and upstream electric grid combine top priority with the least policy. At the other end, downstream gas, downstream electric vehicles, downstream coal and downstream oil combine bottom priority with the most policy.[1]

The Climate Action Tracker rates New Zealand "Highly insufficient" (March 2023). New Zealand has 159 International Energy Agency Policies and Measures records, 81 of which name a technology. For context, 16 records name downstream batteries specifically, against 1 for upstream nuclear.[6,7]

Also for context, Global Trade Alert lists 46 active industrial-policy measures for New Zealand, 11 of them tied to midstream solar, the allied pick.[8]

4. Partnership priorities and why

The Partnership Strength Index scores partners in energy supply chains as reliable suppliers (Friendshore), export markets (Partnership Opportunity) and development partners (Development Potential). It rates the United States highest for New Zealand (0.89), as a reliable supplier, strongest in midstream batteries, upstream oil, upstream wind, downstream gas and midstream electric vehicles.[1]

Australia ranks 2nd (0.89), scoring best as an export market, especially in midstream solar, midstream wind, midstream electric vehicles, midstream nuclear and upstream electric vehicles. South Korea (3rd), Japan (4th) and Canada (5th) follow, each scoring best as a reliable supplier.[1]

Today's trade broadly matches these ratings. On average across its energy-goods baskets, Australia is New Zealand's 1st trade partner, the United States its 3rd, Japan its 4th and South Korea its 5th. Canada is the exception, its 16th trade partner. All of them vote in the same bloc as New Zealand at the UN, and the United States, Australia, South Korea and Japan also share the Indo-Pacific Economic Framework with it.[1,2,9,10]

The reverse case is China: New Zealand's 2nd trade partner, with 21.5% of its imports on average, but 33rd on Partnership Strength, a strong tie today that the index ranks lower. In UN votes they sit in opposite blocs.[1,2,9]

As a partner to the coalition, New Zealand ranks 41st of 192 economies. In the allied network design it is a member with no production share in any of the 22 upstream and midstream stages.[1,5]

5. Data notes and caveats

Values are as of 12 October 2026; Country Insights has more.

- Scores compare New Zealand with other economies in the same sector; they are not measures of risk or profit in absolute terms.
- All index values are the paper's baseline as of 12 October 2026; Strategic Insights recomputes them under other weightings.
- Strategic Index scores within 0.01 of each other are almost tied: small changes in the data or the weights can swap their order.
- Many allied picks are close calls: in the paper, 37% of them are within 0.01 of the runner-up.
- Some of New Zealand's sectors are not placed: a score is compared with other economies only when the economy is sovereign and at most half of the score rests on filled-in data.
- Industrial-policy measures from the Global Trade Alert, New Industrial Policy Observatory, October 2026 extract (as of 5 October 2026) are context only, outside the Policy index.

Sources

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